

PADMA Cluster Infrastructure Development Scheme

DRAFT FOR REVIEW | SCHEME | D041

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The PADMA Cluster Infrastructure Development Scheme, or PCIDS, supports the implementing agency developing a PADMA cluster. It funds eligible common and basic infrastructure within the approved cluster. A business taking a plot inside that cluster is a different participant and does not automatically become the recipient of the infrastructure grant.

PCIDS was notified on 4 March 2024 under Haryana's Programme to Accelerate Development for MSME Advancement. The notified period runs from 17 August 2023 to 16 August 2028, or the validity of the PADMA policy. Admission of a particular proposal and the availability of funds still need to be checked separately.

What the infrastructure support covers

The scheme identifies basic infrastructure such as internal roads, water and electricity networks, drainage and treatment facilities, alongside PADMA-enabling infrastructure. The proposal must demonstrate how the planned infrastructure serves the cluster and its intended enterprises.

Assistance is linked to the block: the notification specifies 50% in B blocks, 75% in C blocks and 85% in D blocks. It caps assistance at ₹35 crore for clusters up to 50 acres and ₹45 crore for clusters above 50 acres. The minimum land requirement is 25 acres in B and C blocks and 15 acres in D blocks. Funding for B-block projects also has a programme-budget restriction.

These percentages apply to the eligible project cost. Land purchase, preliminary and pre-operative expenditure and working-capital margin are excluded from the grant cost base. The notification addresses how registered land value may count towards the promoter contribution; that is different from using grant money to buy land.

The proposal needs an accountable operator

A cluster project is more than a site layout. The implementing agency must establish land control, the target product or enterprise base, infrastructure requirements, financing and the arrangements for completing and operating the facility. Shared infrastructure needs a clear maintenance plan because its value depends on continued service after construction.

Prepare the agency's constitution and ownership records, land documents, detailed project report, engineering estimates, approvals, means of finance and evidence of the expected user base. The grant is released against the notified process and matching-share requirements. The project cannot be planned on the assumption that government pays every construction invoice upfront.

How to approach a PADMA proposal

First confirm the cluster's status and location category. Then identify the eligible infrastructure components and agency contribution. Develop the detailed proposal and submit through the prescribed departmental route, with the required approvals and project records. During implementation, reconcile work completed, expenditure, the agency's contribution and grant utilisation.

Does a plot purchase qualify for PCIDS assistance?

PCIDS is directed at the approved implementing agency and cluster infrastructure. An individual manufacturer should separately assess [PADMA Capital Investment Subsidy](#) or [PADMA Interest Subsidy](#), where relevant.

Does using the PADMA name establish approval?

No. The project needs documentary evidence of its approved status. A developer's marketing description is not a government sanction.

Official source

[PCIDS notification, March 2024](#), especially commencement, assistance, eligible infrastructure and implementing-agency provisions.

Discuss your PADMA project

Tell us whether you represent a cluster implementing agency or an individual business planning a unit. Share the cluster location, proposed infrastructure or unit activity, approximate investment and current approval stage.

Rapid's [Subsidy & Incentive Advisory](#) starts by identifying the relevant programme and the applicant's role. Individual manufacturers can also explore our [Manufacturing project support](#).

[Discuss your project](#). An expert consultant from Rapid will call you to understand the requirement and explain the proposed work and next steps.

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Source links

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1. PCIDS notification, March 2024

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